meesho SEASON 3 DICE CHALLENGE

BUSINESS TRACK · PRICING CASE

Sahi Daam: The Right Price, from Day One

A Pricing Co-Pilot that helps new-to-online Meesho sellers find their true floor, price inside the market band, and keep the price right across the product's life

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Problem Statement

New sellers lose money on orders they think are profitable, and keep the wrong price for months

Why pricing breaks today: the price-to-bank journey of a new-to-online seller

Seller sets price
Offline price carried over, or cheapest competitor copied; 'cost' = purchase rate only

Listing data
Weight and box size set the shipping slab; return option picked blindly

Buyer compares
Near-identical listings side by side; a wrong slab inflates the price

Delivery outcome
72% COD; some parcels refused (RTO), some returned after delivery

Settlement
Shipping + 18% GST on fees deducted: 'Meesho transfers less than I listed'

The root cause is one chain: four problems feed each other

P1
Wrong cost base
Shipping, GST on fees, packing ignored
"Cost = purchase rate"

P4
Returns & RTO not priced in
Failed orders never enter the price
"~8–9 of 30 orders come back"

P2
Copies the market
Anchors on cheapest or median price, below own floor
"If I increase ₹20, orders stop"

P3
No data to correct it
First price set blind; nothing tells the seller it is wrong
"Sheet price is useless"

4.47 lakh
net new transacting sellers a year (961k ATS, +87%)

~15 days
for a new seller to get the first order

72%
of Meesho's shipped orders are cash on delivery

15–20%
industry return rate; fashion 25–40%

Worked example: kurti set copying the ₹299 market price

–₹10.59
lost on every dispatched order
true floor ₹314 vs market ₹299

A customer return costs ~₹153; an RTO ~₹15. Returns are the bigger leak.

Per 100 dispatched orders	₹
70 kept × ₹299	+20,930
Product cost (kept)	−13,300
Shipping + GST (kept)	−5,369
15 RTOs (no reverse fee)	−225
15 customer returns	−2,295
Ads	−800
Profit	**−1,059**

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Segmentation & User Research

Who we spoke to, what we heard, and which sellers Sahi Daam serves first

Research methods

5 seller conversations

1 LinkedIn · 3 In-person · 1 Phone call

Buyer survey (Google Form)

20 questions on price, COD, returns

33 published sources

Meesho FY26 results & RHP, GoKwik, Unicommerce, seller-fee guides

5-platform benchmark

Meesho, Amazon, Flipkart, Walmart, Temu

Segmentation: Pricing Literacy × Online Maturity

New online, high literacy *Growing tier*	**Experienced online, high literacy** *Pro tier*
New online, low literacy → LAUNCH SEGMENT *Guided tier*	**Experienced online, low literacy** *Growing tier*

PERSONAS FROM REAL CONVERSATIONS

ETHNIC-WEAR WHOLESALER

Surat · 11 yrs offline, 1 yr online · Phone



"Market decides price, not me. If I increase ₹20, orders stop."

Prices at competitor median; doesn't know net payout; ~8–9 of 30 orders come back.

Key Characteristics
- High competition and price sensitivity
- Limited understanding of platform fees and net payout
- Handles multiple orders with frequent returns
- Strong cash-handling and inventory skills

Key Challenges
- Price pressure from competitors
- Lack of clarity on actual earnings
- High return rate (~30%)
- Difficulty in experimenting with higher prices

P2 P4 P1

KITCHEN & PLASTICS TRADER

Dhanbad (Purana Bazar) · 5 months online · In-person



"Shop me 320 chalta hai, so online bhi 320. Nobody told me box size matters."

Offline price carried over; 'cost' = purchase rate; bulky rack nets only ₹60–70.

Key Characteristics
- New to online selling (~5 months)
- Carries offline pricing directly to online
- Sells bulky kitchen and plastic storage products
- Operates from a local market (Purana Bazar)

Key Challenges
- Unaware of size-based shipping costs
- Low profit margins (₹60–70 per rack)
- Limited knowledge of online cost structure
- Sudden spikes in parcel volume affect operations

P1 P3

JEWELLERY RESELLER

Dhanbad (Damodarpur) · 2 yrs online · Instagram-first



"My pricing is basically one step above the cheapest guy. Sheet price is useless."

Inputs 8 months stale; COD RTO ~20% in some pin codes.

Key Characteristics
- Sells fashion jewellery online, primarily via Instagram
- Follows competitor pricing closely
- Relies on manual market checks
- Handles COD orders across multiple pin codes

Key Challenges
- No reliable or updated input costs
- High COD return rate (~20%) in some areas
- Feels sheet price does not reflect real market price
- Price competition limits margins

P2 P4 P3

ORGANIC FERTILISER SELLER

Meesho seller · LinkedIn



"Due to this incorrect weight calculation, the selling price shown to customers increases significantly."

750 g pack billed as 7.5 kg; orders fell from 500+ to 8–10 a day.

Key Characteristics
- Sells organic fertilisers on Meesho
- Manages packaging and weight details
- Handles a high volume of orders (previously 500+ per day)
- Active on LinkedIn and digital channels

Key Challenges
- Incorrect weight calculation in listings
- Significant increase in displayed selling price
- Sharp decline in orders (500+ to 8–10 per day)
- Needs better listing and cataloguing practices

P1 P4

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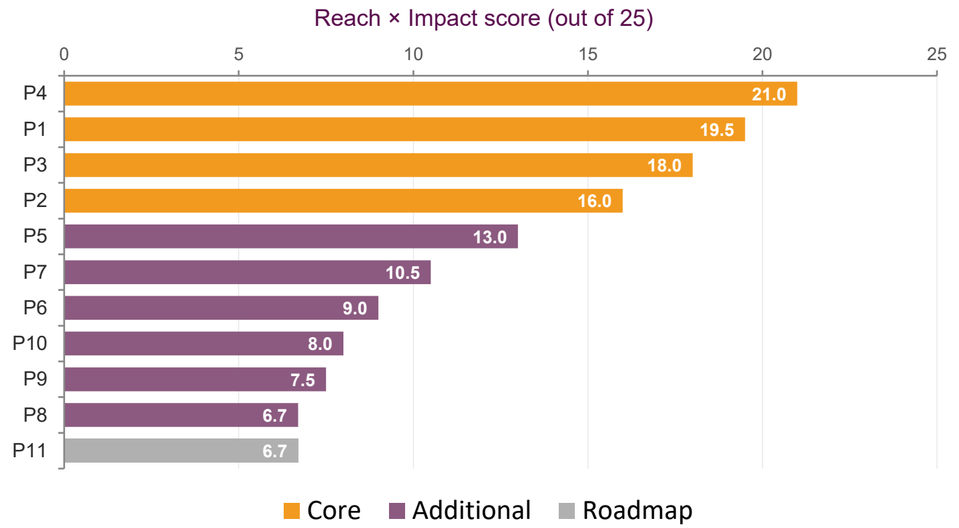
Prioritisation of Problems

Reach × Impact scoring on 5 factors: four problems stand out, and the whole solution focuses on them

#	Problem	Breadth	Frequency	Loss / order	Churn risk	Meesho impact	Reach	Impact	R × I	Tier
P4	**Returns & RTO not priced in**	4	5	5	4	5	**4.5**	**4.67**	**21.0**	Core
P1	**Wrong cost base**	4	5	5	4	4	**4.5**	**4.33**	**19.5**	Core
P3	**First price with no history**	5	4	4	4	4	**4.5**	**4.00**	**18.0**	Core
P2	**Copying cheapest / median price**	4	4	4	4	4	**4.0**	**4.00**	**16.0**	Core
P5	Weight error moves shipping slab	2	4	5	5	3	**3.0**	**4.33**	13.0	Additional
P7	Unclear settlements & generic support	3	4	2	4	3	**3.5**	**3.00**	10.5	Additional
P6	Stale prices over product life	3	3	3	3	3	**3.0**	**3.00**	9.0	Additional*
P10	Low conversion misread as price	3	3	2	3	3	**3.0**	**2.67**	8.0	Additional
P9	Unviable bulky SKUs	2	3	4	3	2	**2.5**	**3.00**	7.5	Additional
P8	Season-end dead stock	2	2	4	4	2	**2.0**	**3.33**	6.7	Additional
P11	Customer fraud (used / fake returns)	2	2	3	3	4	**2.0**	**3.33**	6.7	Roadmap

Scoring (1–5 each)

- **Reach** = Average of Breadth (share of new sellers affected) and Frequency (every order vs occasional).
- **Impact** = Average of Loss per order (₹ hit to the seller), Churn risk (does it push sellers to quit) and Meesho impact (GMV, RTO cost, trust).
- **R × I** out of 25.



CORE · score ≥ 16

P4 · P1 · P3 · P2

Munafa Meter (P1 + P4) and Smart Band (P2 + P3)

ADDITIONAL

P5 · P7 · P6* · P10 · P9 · P8

Built as checks inside the core features.

ROADMAP

P11

Customer fraud is real but an operations problem, not pricing

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Competitive Benchmarking

No platform builds a price floor from the seller's own cost and expected returns

Platform	P1 · Floor from seller's own cost	P4 · Returns & RTO priced in	P2 · Market band shown	P3 · First-price help	Lifecycle signals
Meesho (today)	**No** Price Recommendation is competitor-led	**Partial** Dual price for defective-only returns	**Yes** Recommended price + transfer price	**Partial** Recommendation, but no cost floor	**Partial** Smart pricing within seller min/max
Amazon	**Partial** Revenue Calculator; seller enters cost	**No** Not in the price guidance	**Yes** Pricing Health vs Featured Offer	**Partial** Calculator only	**Partial** Automate Pricing rules
Flipkart	**No** Market-trend based	**No** Not in the price guidance	**Yes** Price Recommendation Tool	**Partial** Help via paid account manager	**No** Dashboards only
Walmart Marketplace	**Partial** Mandatory seller-set minimum price	**No** Not in the price guidance	**Yes** Pricing Insights, Buy Box win rate	**No** None found	**Partial** Repricer within min/max
Temu (fully managed)	**n/a** Platform sets the retail price	**n/a** Platform carries returns	**n/a** Platform decides	**n/a** Platform decides	**n/a** Platform decides
Sahi Daam	**Yes** Munafa Meter: C + shipping + GST + failures	**Yes** RTO and returns priced separately	**Yes** Band + zones + price rank, never below floor	**Yes** Category priors blended with own data	**Yes** 3 triggers with ₹ impact

2025–26 shift

Amazon moved to 0% referral fee up to ₹1,000 (Mar 2026); Flipkart to zero commission below ₹1,000 (Nov 2025). 'Zero commission' is no longer Meesho's unique edge: competition moves to seller tools.

The opposite extreme

Temu's fully managed model sets the price for the seller. Sahi Daam sits in between: Meesho supplies the floor, band and signals; the seller decides.

The gap Sahi Daam fills

Every platform shows a market price. None starts from the seller's true cost to serve a delivered order, including RTO and returns: the exact gap behind P1 and P4.

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Proposed Solution

Sahi Daam: a pricing co-pilot inside the Supplier Panel, built on Floor → Ceiling → Position

1 · FLOOR

What must every order cover?

$P_0 = C + S + (f \cdot F + A) \div (1 - f)$

C= landed cost,
S= shipping + fees + GST,
f =RTO + return share

F =blended cost per failed order,
A =ads

2 · CEILING

What will buyers pay?

Band = Q1 → Q3 of comparable listings

Not just the cheapest; offline price is a sanity check only

3 · POSITION

Where in the band?

Suggested = min(max(ε/(ε−1)·P_0, P_0), Q3)

ε represents the price elasticity of demand — basically, how sensitive buyers are to a change in price.
Higher ε → buyers are more price-sensitive.
Lower ε → buyers are less price-sensitive.

Three features, one seller journey

Munafa Meter

True floor from cost, shipping + GST, RTO vs return cost and ads; weight check before saving

Kurti floor ₹314: ₹299 loses ₹10.59 / order

Smart Band

Band with Loss / Win / Profit zones vs own floor, price rank, suggested range, first-price mode

₹299 sits in the Loss zone; suggested ₹319

Lifecycle Autopilot

3 triggers (launch screen, cost change, season end), one ₹-explained nudge at a time

Season P&L −₹21,872 → +₹1,698

Seller journey and tiers

List → Price → Test → Grow → Clear

Guided: voice + Hindi, defaults, one-line ₹ answer (launch segment)
Growing: band, sliders, price tests
Pro: bulk SKUs, custom rules, exports

End-to-end system architecture and operations

Data Meesho already holds
Rate card & slabs, category RTO / return rates, comparable listings · settlements

→ **Seller inputs**
Purchase cost, packing, weight, box size (voice / Hindi)

→ **Pricing engine**
Floor, band & suggested price, prior blending

→ **Touchpoints**
Listing flow, price edit, WhatsApp / app nudges

→ **Feedback loop**
Orders, returns, settlements update priors and floors

Working prototype: desktop web app (React + TypeScript) LINK

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Munafa Meter

Feature 1 · The True Floor Price, before the product goes live

About the feature

A cost wizard inside the listing flow. The seller types purchase cost and package size; Munafa Meter auto-fills the shipping slab, 18% GST on fees and category RTO / return rates, then shows the floor price and a price → bank → profit breakdown. A built-in weight check stops slab errors before they go live.

Pain points addressed

P1 — Wrong cost base
"Shop me 320 chalta hai, so online bhi 320. Nobody told me box size matters."

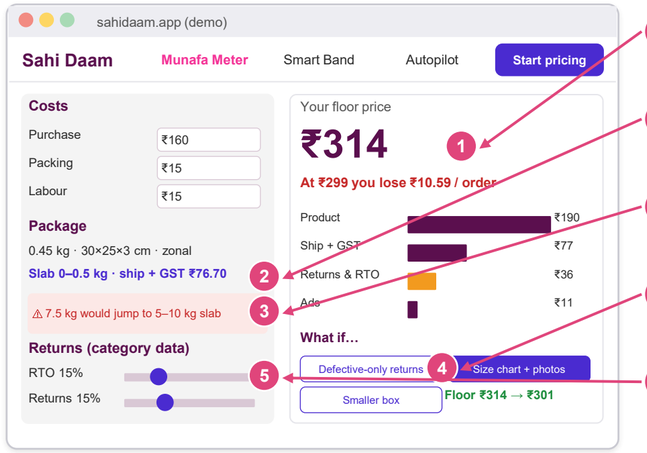
P4 — Returns & RTO not priced in
"~8–9 of 30 orders come back"; a customer return costs ~₹153, an RTO ~₹15

P5 — Weight error moves the slab
750 g pack billed as 7.5 kg; orders fell from 500+ to 8–10 a day

Why this feature

- P4 and P1 have the two highest Reach × Impact scores (21.0, 19.5)
- 0 of 5 benchmarked platforms builds a floor from the seller's own cost and returns
- A transparent formula earns trust; every number has a 'How we calculated this' panel
- Uses data Meesho already holds: rate card, category priors

Wireframe (desktop prototype)



1. Floor price and the ₹ loss at the market price
2. Slab and 18% GST on fees auto-filled from the rate card
3. Weight check flags a slab jump before saving (P5)
4. What-if levers show which change makes the SKU viable
5. Category RTO / return rates, editable; RTO and returns costed separately

User flow

Enter cost → Add weight & box → Check returns → See floor & ₹ split → Pull lever, list

System architecture

Inputs	Engine	Outputs	Touchpoint
Seller: cost, weight, box, zone · Meesho: rate card, category priors	Billable kg → slab → S; RTO vs return cost; floor formula	Floor, min price, price → bank → profit, weight alert	Listing flow in Supplier Panel; floor feeds Smart Band

Value proposition

For the seller

Know, in rupees and before listing, the lowest price that won't lose money, and which lever (returns, packing, sourcing) fixes a loss-making SKU.

For Meesho

Fewer loss-making listings and slab disputes, so fewer new sellers churn; every saved seller keeps generating ~₹47 revenue per order.

Does this actually solve the problem?

YES *It turns invisible per-order losses into a number the seller sees before the first order ships.*

Check	Before	With feature
Loss visible before listing	Hidden	−₹10.59 / order shown
Kurti floor with size chart lever	₹314	₹301
Profit at ₹299 after 3 levers	−₹10.59	+₹13.51
750 g listed as 7.5 kg	Goes live	Flagged before save

Benefits

₹314 — true floor shown on day 1 (kurti)

3.2× — a return costs vs an RTO per point: the lever is clear

+₹24 — per order swing after 3 levers (−₹10.59 → +₹13.51)

0 — slab errors reaching buyers unchecked

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Smart Band

Feature 2 · Where to Price against the Market, including the First Price with no Sales History

About the feature

Shows where the seller's price sits among anonymous comparable listings: a band (Q1 – median – Q3) with Loss / Win / Profit zones marked against the seller's own floor, a price rank, a suggested price range that never goes below the floor, a one-line strategy and, for new listings, a first-price mode built on category data.

Pain points addressed

P2 — Copying cheapest / median price
"My pricing is basically one step above the cheapest guy." · "If I increase ₹20, orders stop."

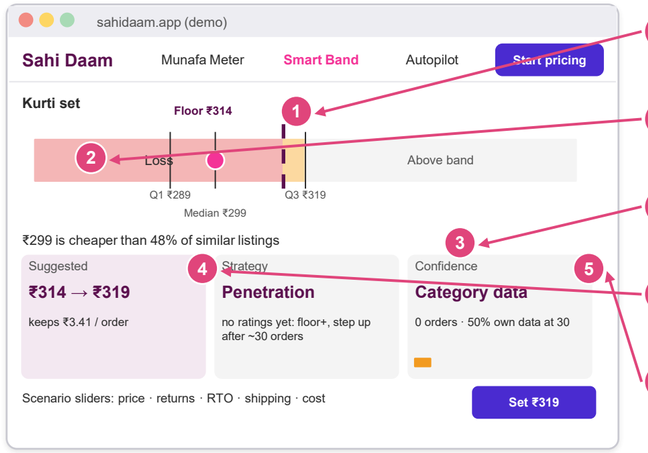
P3 — First price with no history
Every new seller sets a price blind; ~15 days to first order

P9 — Unviable bulky SKUs
Floor above the band even after levers → 'fix or drop' verdict

Why this feature

- P3 reaches 100% of new sellers; P2 scores 16 on Reach × Impact
- Every platform shows a market price; none marks it against the seller's own floor
- Upgrades Meesho's existing Price Recommendation instead of replacing it
- A range, never one target price, and the seller decides: avoids price-herding concerns (CCI 2025)
- Small sellers can't learn price sensitivity alone; Meesho can pool it by category

Wireframe (desktop prototype)



User flow

Floor from Meter → See band & zone → Pick strategy → Accept range → Own data refines

System architecture

Inputs	Engine	Outputs	Touchpoint
Comparable listings, floor, category ε, ratings, own orders	Quartiles, zone, rank; $\min(\max(\varepsilon/(\varepsilon-1)\cdot P_0, P_0), Q3)$	Band chart, suggested range, strategy, confidence meter	Price edit screen; upgrades Price Recommendation

Value proposition

For the seller

Price with the market without pricing below your own cost, see how you rank, and get a defensible first price on day one.

For Meesho

Turns a competitor-led recommendation into a floor-aware one; ranges and seller choice keep it clear of price herding.

Does this actually solve the problem?

YES *It replaces 'copy the cheapest' with 'price inside the band, above my floor', even for a brand-new listing.*

Check	Before	With feature
₹299 copied from the market	Looks safe	Shown as Loss zone
Suggested price (ε = 15)	None	₹319, keeps ₹3.41
Own-data weight at 30 orders	0%	50%
Suggestions below floor	Possible	Never

Benefits

Day 1
first price from category data, no history needed

48%
price rank shown instead of rival names

₹319
suggested price, capped at Q3

50%
own data weight at 30 orders

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Lifecycle Autopilot

Feature 3 · Keeps the Price right after Launch with 3 triggers and one nudge at a time

About the feature

Watches each listing after it goes live and sends one nudge when a trigger fires: T1 launch screen (≤ half the expected orders after ~1,000 views), T2 cost change (slab, GST, purchase cost or return rate moves, so the floor is recalculated), T3 season end (markdown ladder down to the clearance floor). Every nudge shows the ₹ impact; the seller taps Apply or Ignore.

Pain points addressed

P6 **Stale prices over the product's life** — *Jewellery seller's inputs were 8 months old; the case asks how price should evolve*

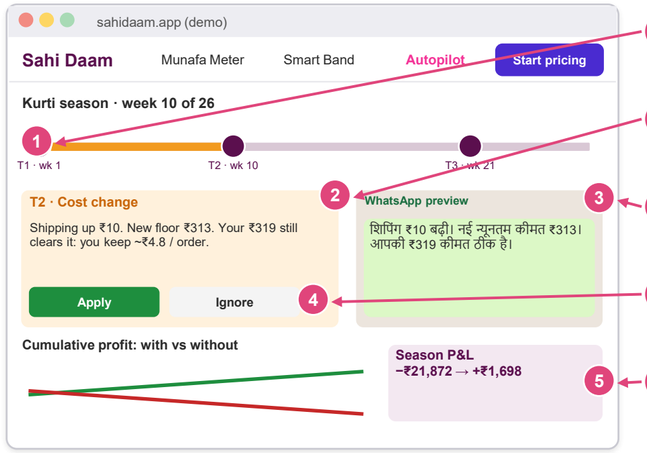
P10 **Low conversion misread as a price problem** — *Few orders may mean weak photos or visibility, not price*

P8 **Season-end dead stock** — *Winterwear seller: 70–80 late returns became dead stock*

Why this feature

- The brief explicitly asks how pricing should change over the product's life
- Kept lean on purpose: 3 triggers, not continuous repricing (low effort, low nudge fatigue)
- Statistically safe: a normal listing hits T1 by chance only 1.1% of the time
- Never auto-applies; seller always decides (trust, regulatory comfort)
- Reuses Munafa Meter's floor, so every nudge stays above it

Wireframe (desktop prototype)



User flow

Listing goes live → Signals watched → Trigger fires → Nudge with ₹ impact → Apply / Ignore

System architecture

Inputs — Views, orders, returns, settlements, fee changes, stock, season dates

→ **Engine** — Poisson launch screen; floor recalculation; markdown ladder ≥ clearance floor

→ **Outputs** — One nudge with ₹ impact and a suggested action

→ **Touchpoints** — WhatsApp / app notification → price edit screen

Value proposition

For the seller

Never leave a wrong price running: one clear message, in rupees and in your language, only when something changes.

For Meesho

Fewer stale and below-floor listings, less dead stock and fewer settlement disputes, so more sellers survive their first season.

Does this actually solve the problem?

YES *In a 26-week kurti simulation the seller ends the season profitable with no dead stock.*

Check	Before	With feature
Season P&L	−₹21,872	+₹1,698
Unsold units at season end	97	0
Weeks priced below floor	20	0
False alarm chance (T1)	n/a	1.1%

Benefits

3 triggers only: lean, low nudge fatigue

1.1% chance T1 fires on a normal listing

₹124 clearance floor: markdowns never go below it

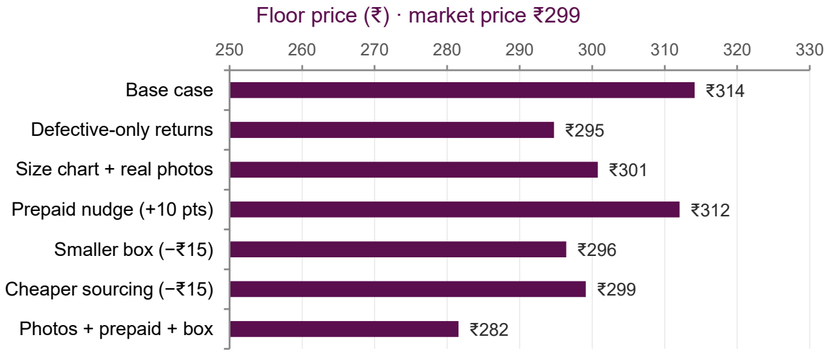
0 price changes applied without consent

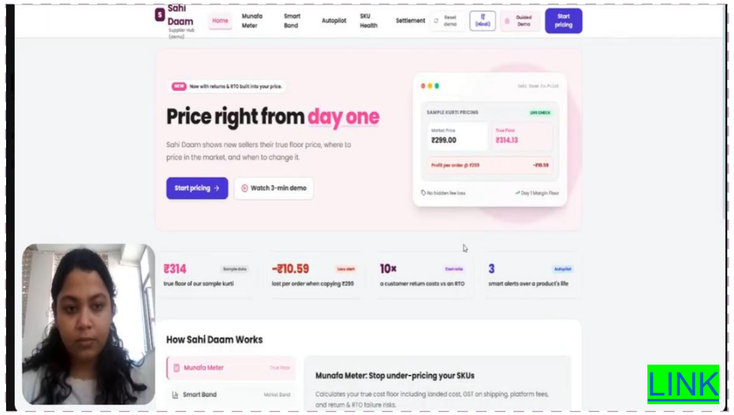
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Impact & Pitfalls

Levers that turn the seller profitable, the prototype in action, and the pitfalls we mitigate

Seller: levers turn the kurti profitable





−₹10.59 → +₹13.51

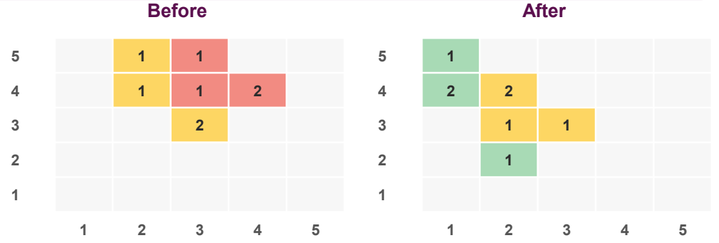
profit per dispatched order at the same ₹299 price, after three levers. Returns are the biggest lever: +1 point of returns costs 3.2× more than +1 point of RTO.

What is RPN?

Risk Priority Number = Likelihood × Impact × Detection
Each factor is scored 1–5, so RPN runs from 1 to 125.
Likelihood: how likely the pitfall is to happen
Impact: how badly it hurts sellers or Meesho
Detection: how hard it is to spot before damage (5 = hard)
Example: price herding 3 × 5 × 4 = 60 → after mitigation 2 × 4 × 2 = 16. Higher RPN = fix first.

Pitfalls & Mitigation

Solution	Pitfall	RPN before	Mitigation built in	RPN after	Change
Munafa Meter	Wrong seller inputs → wrong floor	48	Category defaults and sanity ranges; weight check; settlement data corrects costs	18	−63%
	Fee or slab changes make rates stale	36	Rate card read from live config; floor auto-recalculated	4	−89%
Smart Band	Price herding / CCI concern	60	Floor is seller-specific; band shown as a range; seller decides; no cost sharing; audit band drift	16	−73%
	Category priors wrong for a niche SKU	27	'Based on category data' label; own-data blending; launch screen	12	−56%
	Buyer prices rise	24	Guardrail metric vs control; suggestions capped at band's upper quartile	8	−67%
Lifecycle Autopilot	Nudge fatigue / distrust	27	3 triggers only; one nudge at a time; ₹ impact; easy opt-out	8	−70%
Sahi Daam overall	Low adoption: sellers ignore the tool	32	Default-on in listing flow; one-line ₹ answer; vernacular + voice	16	−50%
	Seller data protection	30	Consent at first use; purpose-limited use; deletion on exit	10	−67%



Rows = impact (5 high) · columns = likelihood: pitfalls move down and left

35.5 → 11.5

Average RPN across 8 pitfalls (−68%)

Roadmap

Customer fraud checks (P11); pricing tickets verified before closing; band-shift and festive triggers

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Appendix: Workbooks & Research

Every number comes from 6 linked Excel workbooks and our seller / buyer Google Form research

Assumptions
Every input with low / base / high, source, confidence; category priors LINK

Floor Model
Rate card, 5 SKUs, price → bank, weight check, keep / fix / drop LINK

Market Band
Listings, band & zones, suggested price, strategy, prior blending, launch test LINK

Sensitivity
Tornado, profit heat map, seller levers, returns vs RTO LINK

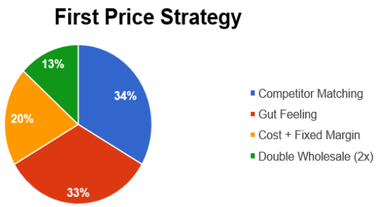
Lifecycle Simulation
26 weeks with vs without, 3 triggers LINK

Business Case & Pilot
Funnel, ₹47 per order, 5-yr scenarios, pilot size, metrics tree LINK

Primary research: Google Form results

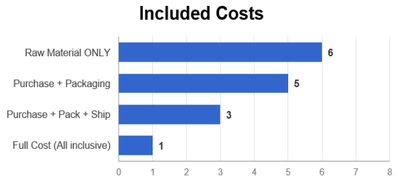
How sellers set their first price

Seller form · supports P3, P2



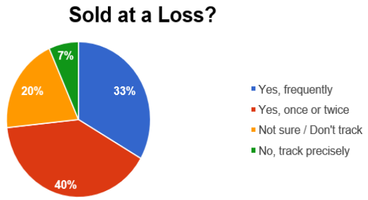
What sellers include in 'cost'

Seller form · supports P1, P4



Ever sold at a loss without knowing?

Seller form · supports P1, P4



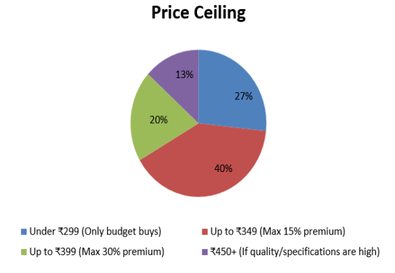
Do ratings earn ₹20 more?

Buyer form · supports Smart Band



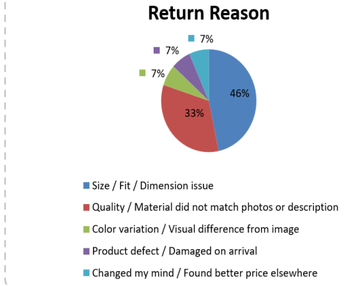
Price ceiling

Buyer form · market band



Why buyers return

Buyer form · return lever (P4)



Mathematical results used

- Floor: $P_0 = C + S + (f \cdot F + A)/(1 - f)$; profit per order = $(1 - f)(P - P_0)$
- Break-even failure share: $f^* = (P - C - S - A)/(P - C - S + F)$
- Suggested price: $\min(\max(\varepsilon/(\varepsilon - 1) \cdot P_0, P_0), Q3)$
- Prior blending: weight on own data = $n/(n + k)$, $k = 30$
- Launch screen: $P(X \le 10 \mid \lambda = 20) = 1.1\%$; ±5% price tests need 7,300+ views per group
- Clearance floor: $S + (f \cdot F + A)/(1 - f)$ + salvage

Key sources & Materials referred to:

- Meesho FY26 results (961k ATS, 2.67 B orders, ₹12,626 Cr revenue); RHP (72% COD); IPO reviews (days to first order)
- GoKwik, Unicommerce, ClickPost (RTO, returns, COD vs prepaid)
- 2026 Meesho seller-fee guides (to be confirmed); CBIC / Income-tax (TCS 0.5%, TDS 0.1%)
- Ellison & Ellison (2009); Blattberg & George (1991); CCI AI & competition study (2025); DPDP Rules (2025)

Source Links

- https://drive.google.com/drive/folders/1q_5AnLlgQp4jQGbLFSIlKnrqhbQa5euM?usp=sharing - Research Docs
- https://drive.google.com/file/d/17u93X0631TjChCc1Fbg0HvpnWAB2qHkl/view?usp=sharing –Prototype walkthrough
- https://docs.google.com/spreadsheets/d/1vCXuHZ9pfYwaa5ab8PzH_oB2gRsz2lX0TM7K1WcqU6g/edit?usp=sharing – Seller Response form
- https://docs.google.com/spreadsheets/d/1vzxZNOOE486r3gDiPDJrFr5em2Dd_QcVnyPAfdO1sVk/edit?usp=sharing – Buyer Response form